

A third variety of this kind of reasoning could be applied to the brewery-stock flotations in 1933. These issues showed substantial current or prospective earnings based upon capacity operations and the indicated profit per barrel. Without claiming the gift of second sight, an analyst could confidently predict that the flood of capital being poured into this new industry would ultimately result in overcapacity and keen competition.

Hence a continued large return on the actual cash investment was scarcely probable; it was likely, moreover, that many of the individual companies would prove financial failures, and most of the others would be unable to earn enough to justify the optimistic price quotations engendered by their initial success.⁹

⁹ See Appendix Note 55 for brief comments on the subsequent performance of the brewery issues of 1933.